

Accounting for Business Combinations

Slide deck 3

Where are we now?

Now that you understand how consolidation adjustments work, we can take a step back and explain how to make the *pre-consolidation adjustments* relating to accounting policies.

These adjustments do not go into the consolidation adjustment columns; instead, they are made before preparing the aggregated financial statements.

However, it was not possible to explain them earlier, since they required an understanding of the consolidation logic, which was explained in detail when making the first actual consolidation adjustment, namely the elimination of the investment (*refer to Slide deck 2*).

Therefore, in terms of the agenda, we are now returning to *section III.A*.

Agenda

I. Preface on Business Combinations

II. Consolidation and the Concept of “*control*”

III. The preparation of the consolidated financial statements

A. Separate F/S collection and pre-consolidation adjustments to make them uniform

B. Aggregation of the separate F/S

C. Consolidation adjustments

- 1) Investment write-off, calculation of <<non-controlling interest>> and goodwill
- 2) Depreciation/amortization of plusvalues (minusvalues)
- 3) Elimination of intercompany transactions: receivables/payables/revenues/expenses
- 4) Elimination of intercompany profits on sale of goods
- 5) Elimination of intercompany profits on sale of long-lived assets
- 6) Elimination of intercompany dividends
- 7) Computation of NC net income

D. The completion of the work: the consolidated financial statements

Pre-Consolidation Adjustments

Remember we said:

*Will get back to this
later....*

***Pre-consolidation
adjustments***

Schemes and
contents of the
financial
statements

Reporting
currency

Accounting
principles and
policies adopted.

Closing dates of
the statements

Pre-Consolidation Adjustments

In order to prepare consolidated financial statements, it is necessary to add together the balance sheets and the income statements of the parent company and of all the subsidiaries.

Financial statements are to be prepared using uniform accounting policies (*harmonization of pre-consolidation phase*).

The uniformity of accounting policies may be obtained in different ways. In practice, three main scenarios occur:

1. Subsidiaries (included in the consolidation area) to adopt *ex-ante* in their financial statement the same accounting policies used by the parent company (i.e., in the consolidation process). If such standards are compliant with the local regulation;
2. Subsidiaries (included in the consolidation area) provide financial statement with the necessary adjustments for the consolidation process. This means that at local level after stand-alone financial statements are prepared as required by local rules, an additional “ad hoc” reporting is prepared and sent to the parent for consolidation purposes only.
3. Harmonization is managed at parent level. This implies all adjustments/changes are prepared at corporate level, during the consolidation process.

Pre-Consolidation Adjustments

The logic to make **adjustments to harmonize accounting principles and valuation criteria** is as follows:

1. Identify the accounting actually made by the subsidiary (**“effective” accounting**). This entry is reflected in the aggregated sheet;
2. Identify the accounting that the company would have made to adopt principles and policies consistent with those followed by the *group* (**“proper” accounting**);
3. According to the differences between the “proper” and “proper” accounting identify the **Adjustments to Consolidated Financial Statements**

... let's work with an example ...

Pre-Consolidation Adjustments

Example 1 – Inventory Policy differences

Info:

- Alfa acquired 100% of the shares in Beta on January 1, 2025.
- At the end of 2025, Alfa has to consolidate Beta accounts.
- With reference to Inventories:
 - (a) Alfa' Inventories are accounted using FIFO;
 - (b) in its own accounts, Beta accounts inventories using LIFO.
- Alfa identifies that, if Beta had valued inventory using FIFO, it would have resulted in a **€500 lower cost of goods sold**.

The Issue:

- The consolidation process requires the use of consistent accounting policies (harmonization).
- The subsidiary (Beta) must therefore adjust its inventory valuation to align with the parent company's (Alfa) accounting policy.
- ***This means ...***

Pre-Consolidation Adjustments

The adjustment from Beta's "effective" policy (LIFO) to the group's "proper" policy (FIFO) requires:

1. A decrease in *Cost of Goods Sold* of 500
2. An increase in *Inventory* of 500.

Why is this the case?

When Beta – using *LIFO* – accounted for Inventory and CoGS, it recorded an entry as follows:

<i>CoGS</i>	<i>Inventory</i>	<i>XXXX</i>	
	<i>Inventory</i>		<i>XXXX</i>

Instead, If FIFO had been used, the CoGS would be lower by 500. This means that we need to adjust the entry above, as follows:

<i>Inventory</i>	<i>500</i>		
<i>CoGS</i>	<i>Inventory</i>		<i>500</i>

This is intuitive, as if CoGS decreases, this means that the amount “not sold” (so the adjustment) is actually still on hand. Where is the amount on hand stored? In the inventory account. This is why we debit inventory.

Note: In this example, tax effects have not yet been included.

Pre-Consolidation Adjustments

Income Statement	Alfa	Beta	(1)	Aggregated
Operating revenues	10,000	5,000		
Operating expenses	7,000	4,000	-500	
Operating Income	3,000	1,000		
Financial revenues		20		
Financial expenses	100	500		
Income before Tax	2,900	520	+500	
Income tax	2,000	260	?	
Net income	900	260	?	

One important thing is worth mentioning...

When we make the adjustment, we also indirectly change the Income...specifically the pre-tax income.

This generates the following ...

Balance Sheet	Alfa	Beta	(1)	Aggregated
Non current assets				
Current assets				
Inventories	1,000	1,360	+500	
Total assets	20,000	8,360		
Owners' equity				
Common stock	10,000	3,000		
Retained earnings	3,500			
Net income	900	260		
Omissis...				
Total liabilities and equity	20,000	8,360		

So we need also to take into account the TAX effect.

This will always (and only) be present if through consolidation adjustments we modify the pre-tax income.

Pre-Consolidation Adjustments

So let see what happens, with Inventories...considering taxes:

The main adjustment is the same:

<i>Inventory</i>	<i>500</i>
<i>CoGS Inventory</i>	<i>500</i>

However, we are now aware that this adjustment increases pre-tax income by 500. This means that, at the consolidation level, taxes should be higher by:

$$500 \times \text{Tax Rate}$$

This means that we need to account for the tax effect. Such tax effect will generate Deferred Taxation. Deferred taxation will work as follows:

<i>Post-Adjustment</i>		
	Income Statement Tax Effect	Balance Scheet Tax Effect
(A) Pre tax Income decrease	Taxes Decreases	Deferred Tax Assets Arise
(B) Pre tax Income increase	Taxes Increases	Deferred Tax Liabilities Arise

In our case: (A) Pre-Tax income increases ...(let's assume a 30% tax rate). The Entry will be as follows:

<i>Income Taxes</i>	<i>150</i>
<i>Deferred Tax Liabilities</i>	<i>150</i>

Pre-Consolidation Adjustments

Income Statement	Alfa	Beta	(1)	Aggregated
Operating revenues	10,000	5,000		
Operating expenses	7,000	4,000	-500	
<i>Operating Income</i>	<i>3,000</i>	<i>1,000</i>		
Financial revenues		20		
Financial expenses	100	500		
<i>Income before Tax</i>	<i>2,900</i>	<i>520</i>	<i>+500</i>	
Income tax	2,000	260	+150	
<i>Net income</i>	<i>900</i>	<i>260</i>	<i>+350</i>	

Effect of the tax adjustment

Balance Sheet	Alfa	Beta	(1)	Aggregated
<i>Non current assets</i>				
Deferred tax assets				
<i>Current assets</i>				
Inventories	1,000	1,360	500	
Total assets	20,000	8,360		
<i>Owners' equity</i>				
Common stock	10,000	3,000		
Retained earnings	3,500			
Net income	900	260	+350	
Deferred Tax Liabilities			+150	
Total liabilities and equity	20,000	8,360		

Remember: automatically this changes also the Net income in the equity...